



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1683: landownership; foreign adversary; prohibition

DIAZ FLOOR AMENDMENT

1. Specifies that January 1, 2027 is when specified entities must begin notifying the Attorney General and Corporation Commission if the entity has entered into any leases, licenses or colocation agreements that has or may have allowed a foreign adversary nation or its agents to install equipment on any of the specified entities property or infrastructure.
2. Excludes any transaction that has received clearance from or that includes a party that is operating under a mitigation agreement with the Committee on Foreign Investment in the United States and follows federal regulations.
3. Modifies the definitions of *foreign adversary agent* and *substantial interest*.
4. Adds an emergency clause.

DIAZ FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1683
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 33-443, Arizona Revised Statutes, is amended to
3 read:

4 33-443. Prohibition against land ownership; foreign adversary
5 nation or agent; enforcement; violation;
6 classification; definitions

7 A. Notwithstanding any other law and except as provided in
8 subsection ~~F~~ K of this section, a foreign adversary nation or a foreign
9 adversary agent may not, directly or indirectly, purchase, own, LEASE,
10 acquire by grant or devise, OBTAIN A CONCESSION or otherwise obtain a
11 CURRENT OR FUTURE substantial interest in real property in this state.
12 THIS PROHIBITION INCLUDES ANY TRANSACTION THAT RESULTS IN THE ACQUISITION
13 OF PROPERTY RIGHTS, WHETHER OR NOT THE TRANSACTION INVOLVES A TRANSFER OF
14 TITLE, INCLUDING:

15 1. A PURCHASE, LEASE OR CONCESSION OF REAL PROPERTY BY OR TO A
16 FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT.

17 2. A CHANGE IN PROPERTY RIGHTS RESULTING FROM A COVERED REAL ESTATE
18 TRANSACTION DESCRIBED IN 31 CODE OF FEDERAL REGULATIONS SECTION 802.301
19 THAT ALLOWS A FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT TO DO
20 ANY OF THE FOLLOWING:

21 (a) PHYSICALLY ACCESS THE REAL PROPERTY.

22 (b) EXCLUDE OTHERS FROM PHYSICAL ACCESS TO THE REAL PROPERTY.

23 (c) IMPROVE OR DEVELOP THE REAL PROPERTY.

24 (d) ATTACH FIXED OR IMMOVABLE STRUCTURES OR OBJECTS TO THE REAL
25 PROPERTY.

26 3. THE ACQUISITION OF ANY OPTION, WARRANT, RIGHT OF FIRST REFUSAL
27 OR FUTURE INTEREST, INCLUDING A REMAINDER OR REVERSIONARY INTEREST, THAT

1 PROVIDES A RIGHT TO ACQUIRE REAL PROPERTY OR THE PROPERTY RIGHTS DESCRIBED
2 IN PARAGRAPH 2 OF THIS SUBSECTION.

3 4. ANY CONVERTIBLE NOTE, BOND OR OTHER DEBT INSTRUMENT THAT
4 PROVIDES A RIGHT TO ACQUIRE AN EQUITY INTEREST OR PROPERTY RIGHTS ON
5 CONVERSION OR THE OCCURRENCE OF A CONTINGENCY.

6 B. A FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT MAY NOT
7 INSTALL, MAINTAIN, HAVE ACCESS TO THE DATA OF OR OPERATE ANY EQUIPMENT ON
8 ANY REAL PROPERTY IN THIS STATE THAT INCLUDES UNCREWED OR AUTONOMOUS
9 SYSTEMS, ANTENNAS, COMMUNICATIONS SYSTEMS, SURVEILLANCE DEVICES OR
10 SENSORS. THIS SUBSECTION APPLIES WHETHER OR NOT THE INSTALLATION,
11 MAINTENANCE, ACCESS OR OPERATION IS:

12 1. PERMANENT OR TEMPORARY.

13 2. PHYSICAL OR EMBEDDED WITHIN OTHER STRUCTURES.

14 3. AUTHORIZED BY CONTRACT, LICENSE, CONCESSION OR INFORMAL
15 ARRANGEMENT.

16 C. THIS SECTION APPLIES TO ANY TRANSACTION, TRANSFER, AGREEMENT OR
17 ARRANGEMENT THAT IS DESIGNED OR INTENDED TO EVADE, AVOID OR CIRCUMVENT THE
18 APPLICATION OF THIS SECTION, INCLUDING:

19 1. THE USE OF ANY INTERMEDIARY, SHELL COMPANY, PARTNERSHIP OR TRUST
20 TO OBSCURE THE IDENTITY OF A FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY
21 AGENT AS THE BENEFICIAL OWNER OR CONTROLLING PARTY.

22 2. THE RESTRUCTURING OF AN EXISTING INTEREST TO FALL BELOW THE
23 SUBSTANTIAL INTEREST THRESHOLD WHILE MAINTAINING FUNCTIONAL CONTROL OF OR
24 THE PROPERTY RIGHTS DESCRIBED IN SUBSECTION A, PARAGRAPH 2 OF THIS
25 SECTION.

26 D. [BEGINNING JANUARY 1, 2027,] AN ENTITY THAT IS A PUBLIC SERVICE
27 CORPORATION, TELECOMMUNICATIONS PROVIDER, CRITICAL INFRASTRUCTURE OWNER OR
28 GOVERNMENT AGENCY IN THIS STATE SHALL NOTIFY THE ATTORNEY GENERAL AND THE
29 CORPORATION COMMISSION IF THE ENTITY HAS ENTERED INTO OR SUSPECTS A LEASE,
30 LICENSE OR COLOCATION AGREEMENT HAS OR MAY HAVE ALLOWED A FOREIGN
31 ADVERSARY NATION OR FOREIGN ADVERSARY AGENT TO INSTALL EQUIPMENT ON THE
32 ENTITY'S PROPERTY OR INFRASTRUCTURE.

33 E. [THIS SECTION DOES NOT APPLY TO ANY TRANSACTION THAT HAS
34 RECEIVED CLEARANCE FROM OR THAT INCLUDES A PARTY THAT IS OPERATING UNDER A
35 MITIGATION AGREEMENT WITH THE COMMITTEE ON FOREIGN INVESTMENT IN THE
36 UNITED STATES UNDER SECTION 721 OF THE DEFENSE PRODUCTION ACT OF 1950 (50
37 UNITED STATES CODE SECTION 4565) AS IMPLEMENTED BY EXECUTIVE ORDER 11858
38 AND THE REGULATIONS PRESCRIBED UNDER 31 CODE OF FEDERAL REGULATIONS PART
39 802, EXCEPT THAT] ANY TRANSACTION IN THIS STATE THAT FAILS TO COMPLY WITH
40 A COMMITTEE ON FOREIGN INVESTMENT IN THE UNITED STATES MITIGATION
41 AGREEMENT OR A PRESIDENTIAL ORDER OF DIVESTMENT IMPLEMENTED UNDER 31 CODE
42 OF FEDERAL REGULATIONS PART 802 IS A VIOLATION OF THIS SECTION.

43 ~~B.~~ F. The attorney general shall enforce this section. The
44 enforcement of this section may not be based on a person's race or
45 national origin. If the attorney general reasonably suspects THAT a
46 violation of this section occurred, the attorney general:

1 1. May commence an action in superior court in the county in which
2 the real property is located.

3 2. Shall report the matter to the federal bureau of investigation
4 for suspected espionage activity or to other local, state or federal law
5 enforcement agencies with the statutory authority to investigate those
6 cases.

7 3. Shall report the matter to the committee on foreign ~~investments~~
8 ~~INVESTMENT~~ in the United States (50 United States Code section 4565).

9 4. MAY SEEK AN IMMEDIATE INJUNCTION TO CEASE THE OPERATION OF
10 EQUIPMENT AND MAY MOVE FOR AN ORDER OF FORFEITURE AND REMOVAL OF THE
11 PROHIBITED DEVICES AT THE VIOLATOR'S EXPENSE.

12 G. ON THE INITIATION OF A COMMITTEE ON FOREIGN INVESTMENT IN THE
13 UNITED STATES REVIEW OF A TRANSACTION INVOLVING REAL PROPERTY IN THIS
14 STATE, THE ATTORNEY GENERAL MAY PETITION THE COURT FOR AN AUTOMATIC STAY
15 OF ANY PROPERTY DEVELOPMENT OR EQUIPMENT INSTALLATION PENDING THE FEDERAL
16 OUTCOME.

17 ~~E.~~ H. If pursuant to an action filed under subsection ~~B~~ F,
18 paragraph 1 of this section the superior court finds that title or a
19 substantial interest in real property was obtained in violation of
20 subsection A of this section, the court shall:

21 1. Enter an order:

22 ~~1.~~ (a) Stating the court's findings.

23 ~~2.~~ (b) Divesting the ~~person's~~ interest OF THE FOREIGN ADVERSARY
24 NATION OR FOREIGN ADVERSARY AGENT.

25 ~~3.~~ (c) Directing the board of supervisors to sell the real
26 property in a manner that is consistent with title 42, chapter 18, article
27 7, except that the board of supervisors shall distribute the remaining
28 proceeds after paying taxes, interest, penalties, fees and costs in the
29 following order of priority:

30 ~~(a)~~ (i) To any valid lienholder for the value of the lienholder's
31 outstanding lien that is attached to the real property.

32 ~~(b)~~ (ii) To the appropriate county treasurer and the attorney
33 general to reimburse the appropriate board of supervisors and the attorney
34 general for expenses incurred in ~~the prosecution of~~ PROSECUTING a
35 violation of this section.

36 ~~(c)~~ (iii) To the property owner in an amount equal to the
37 remaining proceeds of the sale, if any.

38 2. NOTWITHSTANDING SUBSECTION C OF THIS SECTION, IF THE SUBSTANTIAL
39 INTEREST IN REAL PROPERTY IS HELD THROUGH A CERTIFICATE OF PURCHASE,
40 LEASE, RIGHT-OF-WAY OR OTHER INSTRUMENT RELATING TO LAND OWNED IN TRUST BY
41 THIS STATE PURSUANT TO ARTICLE X, CONSTITUTION OF ARIZONA, DECLARE THAT
42 THE SUBSTANTIAL INTEREST IS EXTINGUISHED AND SHALL ORDER THAT INSTRUMENT
43 CANCELED IN ACCORDANCE WITH ITS TERMS, SUBJECT TO THE RIGHTS OF ANY
44 REGISTERED MORTGAGEE OR OTHER LIENHOLDER PURSUANT TO SECTION 37-255.

45 ~~D.~~ I. A title insurer, title agent, escrow agent or real estate
46 licensee may not be held liable for any violation of this section.

1 ~~F.~~ J. A violation of this section may not be the basis for a title
2 insurance claim for any title insurance policy issued for REAL property in
3 this state.

4 ~~F.~~ K. A foreign adversary nation or foreign adversary agent may
5 acquire real property or any interest in real property in this state by
6 devise or descent, the enforcement of security interests or the collection
7 of debt, if the foreign adversary nation or foreign adversary agent sells,
8 transfers or otherwise divests from the real property within one hundred
9 twenty days after acquiring the real property.

10 ~~G.~~ L. It is unlawful for a person to knowingly make to a law
11 enforcement agency of this state or a political subdivision of this state
12 a false, fraudulent or unfounded report or statement regarding an alleged
13 violation of this section. A violation of this subsection is a class 1
14 misdemeanor.

15 M. A FOREIGN ADVERSARY AGENT THAT VIOLATES SUBSECTION B OF THIS
16 SECTION IS GUILTY OF A CLASS 5 FELONY.

17 ~~H.~~ N. For the purposes of this section:

18 1. "ANTENNA" MEANS COMMUNICATIONS EQUIPMENT THAT TRANSMITS OR
19 RECEIVES ELECTROMAGNETIC RADIO FREQUENCY SIGNALS AND THAT IS USED IN
20 PROVIDING WIRELESS SERVICES.

21 2. "BENEFICIAL OWNER" MEANS ANY PERSON OR ENTITY THAT, DIRECTLY OR
22 INDIRECTLY THROUGH ANY CONTRACT, ARRANGEMENT, RELATIONSHIP OR OTHERWISE,
23 HAS OR SHARES VOTING POWER OR INVESTMENT POWER OVER THE PROPERTY OR THE
24 ENTITY HOLDING THE PROPERTY.

25 3. "COMMUNICATIONS SYSTEM" MEANS ANY EQUIPMENT AT A FIXED LOCATION
26 THAT ENABLES WIRELESS OR WIRELINE COMMUNICATIONS BETWEEN USER EQUIPMENT
27 AND A NETWORK.

28 4. "CONCESSION" MEANS A RIGHT TO USE REAL PROPERTY, INCLUDING PORTS
29 AND AIRPORTS, FOR A SPECIFIC PURPOSE OR FOR A SPECIFIC PERIOD OF TIME,
30 PURSUANT TO AN AGREEMENT WITH A GOVERNMENT ENTITY OR A PRIVATE PERSON.

31 5. "CONTINGENT INTEREST" MEANS A FINANCIAL INSTRUMENT OR
32 CONTRACTUAL RIGHT THAT DOES NOT CONSTITUTE AN EQUITY OR PROPERTY INTEREST
33 BUT IS CONVERTIBLE INTO, OR PROVIDES THE RIGHT TO ACQUIRE, AN EQUITY OR
34 PROPERTY INTEREST ON THE OCCURRENCE OF A CONTINGENCY OR DEFINED EVENT.

35 6. "CONTROL" MEANS THE POWER, DIRECT OR INDIRECT, WHETHER OR NOT
36 EXERCISED, TO DETERMINE, DIRECT OR DECIDE IMPORTANT MATTERS AFFECTING THE
37 REAL PROPERTY, INCLUDING THE SALE, LEASE, MORTGAGE OR DEVELOPMENT OF THE
38 REAL PROPERTY.

39 ~~I.~~ 7. "Foreign adversary agent" means any of the following:

40 (a) An agent of a foreign adversary nation involved in espionage.

41 (b) A state-owned enterprise of a foreign adversary nation.

42 (c) An entity that is directed or controlled by a foreign adversary
43 nation or the proxies of that foreign adversary nation.

44 (d) A leader of a controlling political party or government or any
45 administrative subdivision of a foreign adversary nation.

1 (e) Any business or other entity that is headquartered or domiciled
2 in a foreign adversary nation and directly or indirectly held or
3 controlled by a foreign adversary nation.

4 (f) A FOREIGN PERSON AS DEFINED IN 31 CODE OF FEDERAL REGULATIONS
5 SECTION 802.221 WHEN APPLIED TO A FOREIGN ADVERSARY NATION.

6 ~~[(g) AN INDIVIDUAL WHO IS A MEMBER OF OR WHO ACTS IN SUPPORT OF A
7 DESIGNATED FOREIGN TERRORIST ORGANIZATION UNDER SECTION 219 OF THE
8 IMMIGRATION AND NATIONALITY ACT (8 UNITED STATES CODE SECTION 1189).]~~

9 ~~8.~~ 8. "Foreign adversary nation" means a country that is either of
10 the following:

11 (a) Identified by the United States director of national
12 intelligence as a country that poses a risk to the national security of
13 the United States in each of the three most recent annual threat
14 assessments of the United States intelligence community issued pursuant to
15 section 108b of the national security act of 1947 (50 United States Code
16 section 3043b).

17 (b) Determined by the United States department of commerce pursuant
18 to 15 Code of Federal Regulations section 791.4.

19 9. "LEASE" MEANS A CONTRACT OR ARRANGEMENT, WRITTEN OR ORAL, FOR
20 THE POSSESSION AND USE OF REAL PROPERTY FOR A SPECIFIED PERIOD OF TIME.

21 10. "SENSOR" MEANS A HIGH-SENSITIVITY DEVICE THAT IS DESIGNED TO
22 DETECT, MEASURE OR RECORD PHYSICAL STIMULI, INCLUDING SEISMIC, THERMAL,
23 ACOUSTIC OR CHEMICAL DATA.

24 ~~8.~~ 11. "Substantial interest"[:

25 (a)] Means an interest of ~~thirty~~ FIFTEEN percent or more THAT IS
26 CALCULATED AS IF ALL CONTINGENT INTERESTS THAT ARE HELD BY THE FOREIGN
27 ADVERSARY NATION OR FOREIGN ADVERSARY AGENT HAVE BEEN CONVERTED OR
28 EXERCISED.

29 ~~[(b) DOES NOT INCLUDE ANY PASSIVE OWNERSHIP INTEREST THAT IS HELD
30 IN AN ENTITY IF THE FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT
31 DOES NOT POSSESS BY VIRTUE OF THAT OWNERSHIP INTEREST OR OTHERWISE THE
32 POWER TO DIRECT OR CAUSE THE DIRECTION OF THE MANAGEMENT OR POLICIES OF
33 THE ENTITY WITH RESPECT TO THE INTEREST IN REAL PROPERTY.]~~

34 12. "SURVEILLANCE DEVICE" MEANS A DEVICE OR APPARATUS THAT CAN BE
35 USED TO INTERCEPT THE CONTENTS OF A COMMUNICATION OR TO CONDUCT VIDEO OR
36 ELECTRONIC MONITORING.

37 Sec. 2. Applicability

38 Section 33-443, Arizona Revised Statutes, as amended by this act,
39 applies to both:

40 1. Transactions that are entered into on or after the effective
41 date of this act.

42 2. A renewal, extension, modification or exercise of rights that is
43 related to an existing real property interest and that occurs on or after
44 the effective date of this act.

45 ~~[(ENACTED WITHOUT THE EMERGENCY)]~~

46 ~~<<Sec. 3. Emergency~~

1 ~~This act is an emergency measure that is necessary to preserve the~~
2 ~~public peace, health or safety and is operative immediately as provided by~~
3 ~~law.>>~~

4 <<Sec. 3. Emergency

5 ~~[This act is an emergency measure that is necessary to preserve the~~
6 ~~public peace, health or safety and is operative immediately as provided by~~
7 ~~law.]>>~~

8 Enroll and engross to conform

9 Amend title to conform

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